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Ningbo Joyson Electronic Corp | Asia Pacific

2Q26 in Line; Applying Power Electronics to AIDC

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Gross margin was more resilient than peers (Desay, Foryou, Hirain) thanks to higher overseas exposure.
- We think Joyson can leverage its know-how in 800V EV to supply power management related components to AIDC.

2Q26 in line: Joyson's 2Q26 earnings fell 8% YoY and 16% QoQ to Rmb337mn, in line with reduced market expectations.

2Q26 revenue dropped 9% YoY to Rmb14.3bn due to weak global auto production volume.

2Q26 gross margin fell 0.6ppt YoY but improved 0.1ppt QoQ to 17.8%, which we think reflects higher overseas exposure. Joyson generated 76% of revenue from overseas in 1H26, and it is easier to pass through material cost hikes to global OEMs than Chinese ones.

Power electronics from auto to AIDC: We see Joyson leveraging its know-how in auto power electronics to step into AIDC power products such as AC/DC power supply units (PSU), DC/DC converters, coolant distribution units (CDU), etc. Management expects prototypes to be ready by September. We believe in the synergy between EV high-voltage and AIDC components, but also think it will take time for auto suppliers to re-qualify such technology to support data centers' high power density and 24/7 continuous duty.

Exhibit 1: Joyson - 2Q/1H26 results summary

Joyson (Rmb mn)	1Q25	2Q25	1Q26	2Q26	2Q YoY	2Q QoQ	1H25	1H26	YoY
Revenue	14,576	15,771	13,815	14,276	-9%	3%	30,347	28,091	-7%
Gross profit	2,609	2,900	2,441	2,542	-12%	4%	5,509	4,982	-10%
Operating profit	841	929	730	682	-27%	-7%	1,770	1,412	-20%
Net profit	340	367	402	337	-8%	-16%	708	739	4%
Recurring net profit	320	386	362	293	-24%	-19%	706	655	-7%
EPS (Rmb)	0.22	0.24	0.26	0.22	-8%	-16%	0.51	0.48	-6%
Gross margin	17.9%	18.4%	17.7%	17.8%	-0.6%	0.1%	18.2%	17.7%	-0.4%
Operating margin	5.8%	5.9%	5.3%	4.8%	-1.1%	-0.5%	5.8%	5.0%	-0.8%
Net margin	2.3%	2.3%	2.9%	2.4%	0.0%	-0.6%	2.3%	2.6%	0.3%

Source: Company data, Morgan Stanley Research

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Ningbo Joyson Electronic Corp (600699.SS, 600699.CG)

China Autos & Shared Mobility | China

Stock Rating	Equal-weight
Industry View	In-Line
Price target	Rmb25.00
Up/downside to price target (%)	31
Shr price, close (Aug 25, 2026)	Rmb19.14
52-Week Range	Rmb39.98-18.88
Sh out, dil, curr (mn)	1,538
Mkt cap, curr (mn)	Rmb29,439
EV, curr (mn)	Rmb44,019
Avg daily trading value (mn)	Rmb1,438

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.87	1.14	1.40	1.51
EPS (Rmb)\$	1.05	1.15	1.35	1.55
Revenue, net (Rmb mn)	61,183	64,609	69,089	72,930
EBITDA (Rmb mn)	5,215	5,418	6,080	6,363
ModelWare net inc (Rmb mn)	1,336	1,755	2,153	2,319
P/E	36.1	16.8	13.7	12.7
P/BV	2.8	1.6	1.5	1.4
RNOA (%)	6.7	8.0	9.1	9.2
EV/EBITDA	12.1	8.2	7.4	7.1
Div yld (%)	3.2	1.2	1.5	1.6
FCF yld ratio (%)	2.9	4.4	5.5	6.5
Leverage (EOP) (%)	25.8	25.1	23.2	20.2

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

\$ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Ningbo Joyson Electronic Corp (600699.SS)

Base case, from DCF valuation. Our key assumptions include a 12.0% WACC (14.5% cost of equity and 6.3% cost of debt), a medium-term growth rate of 5% and a 3% terminal growth rate.

Risks to Upside

- Faster-than-expected consolidation of auto safety business.
- Solid progress in acquiring global orders for auto electronics and safety systems.
- New project wins in humanoid robots.

Risks to Downside

- Higher-than-expected costs during auto safety business consolidation, reflected in the company's operating expenses.
- New order share loss to Autoliv and/or TRW amid business restructuring.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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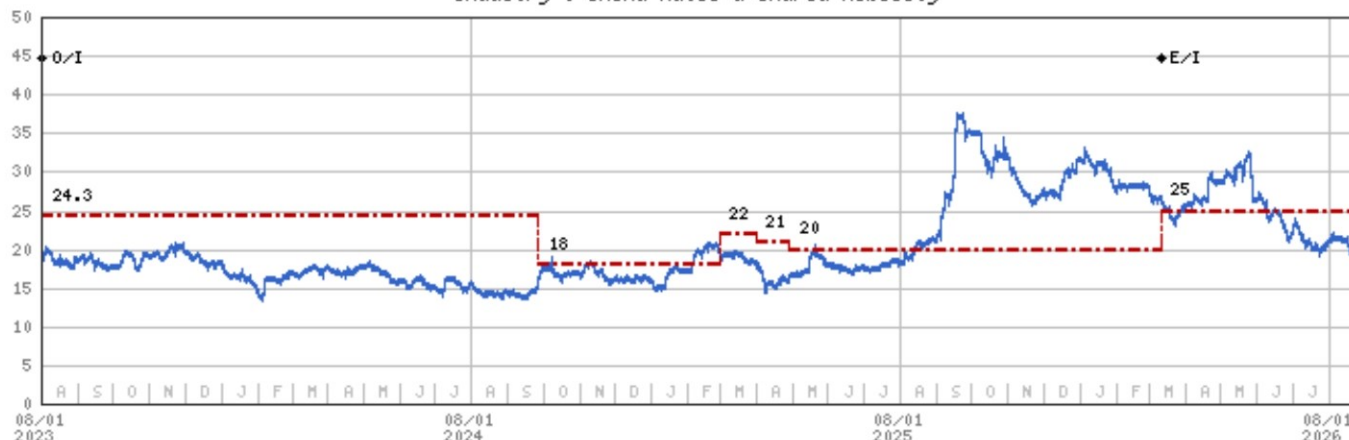
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Stock Price, Price Target and Rating History (See Rating Definitions)

Ningbo Joyson Electronic Corp (600699.SS) - As of 08/25/26 GMT in CNY
Industry : China Autos & Shared Mobility



Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/25/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb21.22
BAIC Motor (1958.HK)	E (10/02/2025)	HK\$0.81
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK\$2.50
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.10
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.24
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK\$2.13
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.36
Jiangsu Changshu Automotive Trim Group (603035.SS)	E (08/14/2023)	Rmb11.26
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb19.14
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.31
Voyah Automotive Technology Co. Ltd. (7489.HK)	O (03/31/2026)	HK\$2.81
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb29.99
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb64.66
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb25.70
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb84.42
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK\$0.38
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK\$0.87
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb27.41
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb57.67
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK\$55.95
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb86.20
Keboda (603786.SS)	O (01/17/2024)	Rmb39.37
Minth Group Limited (0425.HK)	O (08/24/2015)	HK\$28.04
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.46
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK\$5.28
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb19.14

Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb46.80
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb11.26
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb61.79
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK\$11.40
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb35.95
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK\$4.51
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.98
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb91.36
BYD Company Limited (1211.HK)	O (04/14/2025)	HK\$93.60
EHang Holdings Ltd (EH.O)	O (03/13/2025)	US\$5.20
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK\$18.98
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb15.40
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK\$8.36
Hesai Group (HSAI.O)	O (07/28/2025)	US\$18.15
Horizon Robotics (9660.HK)	O (12/02/2024)	HK\$4.77
Li Auto Inc. (LI.O)	O (08/24/2020)	US\$12.48
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK\$47.68
NIO Inc. (9866.HK)	O (10/03/2022)	HK\$34.14
NIO Inc. (NIO.N)	O (08/26/2020)	US\$4.36
WeRide Inc (WRD.O)	O (11/19/2024)	US\$5.97
XPeng Inc. (9868.HK)	O (11/16/2021)	HK\$43.30
XPeng Inc. (XPEV.N)	O (01/29/2021)	US\$11.15

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.